

Microsoft Corporation

Fiscal Year 2026 Financial Highlights & Summary

Executive Summary

Microsoft Corporation reported record financial results for the full fiscal year 2026 ended June 30, 2026. Driven by continued multi-faceted growth across its cloud and artificial intelligence ecosystem, total full-year revenue surpassed **\$331.8 billion**, up 18% year-over-year. Key drivers included robust enterprise cloud adoption, with Azure crossing the historic \$100 billion annual revenue threshold, and expanded monetisation of AI capabilities via services like Microsoft 365 Copilot.

Full Year Financial Performance (GAAP)

Financial Metric	FY2026 Results	YoY Change (%)
Total Revenue	\$331.8 Billion	+18%
Operating Income	\$155.2 Billion	+21%
Net Income	\$133.7 Billion	+31%

Fourth Quarter (Q4 FY26) Key Highlights

- **Quarterly Revenue:** Reached \$90.0 billion, a solid 18% increase compared to the prior-year period.
- **Quarterly Net Income:** Stood at \$35.8 billion (GAAP), expanding 31% YoY. Non-GAAP net income (excluding Anthropic investment gains and other minor items) grew by 22% to \$35.3 billion.
- **Cloud Momentum:** Total Microsoft Cloud revenue hit \$59.3 billion for the quarter, surging 27% year-over-year.
- **Azure Expansion:** Azure and other cloud services grew 43% for the quarter, fueled by relentless global demand for enterprise AI infrastructure.
- **AI Productivity Adoption:** Microsoft 365 Copilot successfully exceeded 30 million paid seats, proving accelerated commercial traction.

Strategic Infrastructure & Capital Expenditures

To support growing AI workloads and demand pipelines, Microsoft heavily accelerated its capital infrastructure deployment, recording \$41 billion in quarterly capital expenditures and finance leases (up 69% YoY). Looking forward into FY2027, management has projected calendar year 2026 capital expectations to reach approximately \$175 billion, optimized by extending the estimated useful life of its data center and office assets from 15 years to 25 years.